

You see, Old Money is not like other money. It shouldn't try to be. Most people don't have any money. People who have money are different by definition. If you want to have money, you have to do things differently. It's that simple. Especially if you want to have it for longer than a single generation. Don't follow the crowd. Don't take the advice of people who make money by getting you to follow the crowd.

DON'T CHASE ALPHA

Most people think the secret to making money by investing is to find the stock that will go up. They all want to be an alpha investor, the big man on campus who put his money into Google when it opened for business or the guy who bought Starbucks when it went public in 1992. That's the whole game, they believe—seeking alpha.

“Alpha” is what they call the above-market gains you can get by selecting the right stocks. But the trouble with alpha is that it is unreliable. Of course, if picking stocks that go up were easy, everyone would do it. And if there were some formula that made it possible, everyone would follow it. Instead, the typical experience is mixed. You choose one stock that goes up. Then you choose two that don't. And then you get a real nightmare stock and you're wiped out. Over the long run—by definition and observation—most alpha-seeking investors cannot beat the market averages. And as we've seen, the market averages are not that high—not in real terms.

But what choice do you have? You're a typical investor. You've got 10 years to build up a small pile of savings for a retirement fund. You do your homework. You take your chances. You hope to get lucky.

If you did that for a short time, you might come out OK. If you happen to be in a bull market, the rising tide will raise your boat. Sometimes you'll beat the market. Sometimes the market will beat you. Sometimes you'd get a big run-up in a bull market. Sometimes a bear market takes you back down again. Provided you didn't make any major mistakes, you'll get what everyone else gets, more or less, over the long term. But you don't have the long term. You can't get average, long-term performance. You get only a piece of it, and you hope it will be the good piece.